3. 9:00 AM CASE NUMBER: C22-01746
CASE NAME: ALBERT SEENO, JR. VS. ALBERT SEENO, III
***HEARING ON MOTION IN RE: SEAL PORTIONS OF MOTION TO ENFORCE SETTLEMENT AGREEMENT**
FILED BY: SEENO, ALBERT D., III
<u>*TENTATIVE RULING:*</u>

See LINE 4.

4. 9:00 AM CASE NUMBER: C22-01746
CASE NAME: ALBERT SEENO, JR. VS. ALBERT SEENO, III
***HEARING ON MOTION IN RE: ENFORCE SETTLEMENT AGREEMENT PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 664.6**
FILED BY: SEENO, ALBERT D., III
<u>*TENTATIVE RULING:*</u>

The Court continues the hearing on the cross-motions to enforce settlement agreement pursuant to Code of Civil Procedure section 664.6 to March 2, 2026 at 9:00 a.m. No further papers are to be filed on these motions. The Court continues all related Motions to Seal to the same date.

5. 9:00 AM CASE NUMBER: C23-00323
CASE NAME: BOWLES & VERNA LLP VS. JACK ELDER
***HEARING ON MOTION IN RE: ENFORCE SETTLMENT**
FILED BY: BOWLES & VERNA LLP
<u>*TENTATIVE RULING:*</u>

Plaintiff Bowles & Verna LLP (“Plaintiff”) filed a Motion to Enforce Settlement on October 2, 2025 (“Motion to Enforce Settlement”). The Motion to Enforce Settlement was set for hearing on February 9, 2025. The motion is unopposed.

<u>Background</u>

The parties entered into that certain settlement agreement on or about May 13, 2024 (the “Settlement Agreement”), the terms of which included payment by the defendant Jack Elder (“Defendant”) in the amount of $30,000.00, to be paid in accordance with the terms thereof (the “Payment Terms and Conditions”). See Declaration of William T. Nagle filed October 2, 2025 (“Supporting Declaration”), ¶2 and **Exhibit A** (Settlement Agreement) thereto. Upon such payment, the matter would be dismissed with prejudice. Settlement Agreement, ¶2, Supporting Declaration, **Exhibit A**. The agreement included provisions for certain late payment penalties and also contained another payment option. See *id*.

<u>Analysis</u>

Defendant was duly served with the motion. The motion is unopposed.

The Settlement Agreement includes a provision that it is enforceable pursuant to Code of Civil Procedure section 664.6 and jurisdiction is reserved to the Court for that purpose. Settlement Agreement, ¶9, Supporting Declaration, **Exhibit A**.

Defendant defaulted on the Payment Terms and Conditions. See Supporting Declaration, ¶¶2-6. No notice or opportunity to cure is required under Settlement Agreement. Settlement Agreement, ¶1 *et seq*.

No payments were made by Defendant and there remains $30,000.00 due and owing. See Supporting Declaration, ¶6.

Plaintiff also seeks an award of $11,700 in late payment penalties, attorneys' fees of $1,870.00, and costs of $815.22. Plaintiff also seeks an award of prejudgment interest in the amount of $500.81 (at the rate of $8.21 per *diem* from July 31, 2025). See Supporting Declaration, ¶8.

<u>Late Payment Penalties</u>

Where a settlement agreement seeks to impose late payment penalties, the Court must consider whether such penalties constitute valid liquidated damages or an unenforceable penalty. See *Greentree Financial Group, Inc. v. Execute Sports, Inc.* (2008) 163 Cal.App.4th 495; Civ. Code § 1671(b) ("a provision in a contract liquidating the damages for the breach of the contract is valid unless the party seeking to invalidate the provision establishes that the provision was unreasonable under the circumstances existing at the time the contract was made.").

A liquidated damages clause will generally be considered unreasonable, and hence unenforceable under section 1671(b), if it bears no reasonable relationship to the range of actual damages that the parties could have anticipated would flow from a breach. *Greentree Financial Group, Inc. v. Execute Sports, Inc.*, *supra*, 163 Cal.App.4th at 499.

The relevant provision in the Settlement Agreement states: "There will be a late payment penalty applied for any late payments in the amount of $300 for each month a payment is late." Settlement Agreement, ¶2, Supporting Declaration, **Exhibit A**. The agreement goes on to describe the reoccurring nature of this late penalty in detail:

> Each $6,000 payment shall be sent to B&V at 2121 North California Boulevard, Suite 875, Walnut Creek, California 94596, on or before each of the five dates specified above. There will be a late payment penalty applied for any late payments in the amount of $300 for each month a payment is late. For example, if Mr. Elder pays the third quarter $6,000 payment on August 10, 2024, he will owe an additional $300. The late payment penalty will renew every 30 days if any quarterly payment is over 30 days due and owing. For example, if Mr. Elder does not pay the third quarter $6,000 payment until September 10, 2024, he will owe $300 as a late payment penalty for the late payment in the first 30 days and he will owe an additional $300 as a late payment penalty made over 30 days late (for the renewed 30-day period). The late penalty fees will be applied to any and all late payments owed under the payment plan schedule set forth above.

See *id*.

While arguably a one-time late payment of $300 might well be a reasonable estimate of the damage that would flow from a breach, a $300 perpetually running late fee as to each payment is not, especially when the right to recover prejudgment interest on the unpaid amounts is considered.

There are five payment deadlines. Upon missing a payment, a $300 late payment penalty begins to run and continues month after month. See Supporting Declaration, ¶8 (Plaintiff recounts the running of the amounts as October 2025, observing reciting that there was then owing a "total of $4,200 in late payment penalties on the first payment," "a total of $3,000 in late payment penalties on the second payment, "total of $2,400 in late payment fee penalties on the third payment," etc.).

Once all five payments were passed due, a total of $1,500 per month would be accruing. That is effectively, $18,000 a year in late penalties. On a $30,000 liability, that would amount to a 60% per *annum* rate of interest on top of the claimed prejudgment interest at the rate of 10% per *annum*. This is not only unreasonable, but unconscionable. It certainly bears no reasonable relationship to the range of actual damages the parties could have anticipated from a breach of the agreement to settle the dispute.

Judgment for the late payment penalties is denied.

Prejudgment Interest

Plaintiff shall also recover prejudgment interest on the principal damages at the legal rate of ten (10%) per annum. Civ. Code § 3289; see CJER, *California Judges Benchbook: Civil Proceedings—Trial* (2025) ("CJER Civ. Pro.—Trial"), § 16.156. When a contract does not specify a rate of interest, the rate is ten (10%) per annum from the date of the breach. Civ. Code § 3289(b); CJER Civ. Pro.—Trial, § 16.156.

Plaintiff shall recover prejudgment interest in the amount of $1,586.30. At the legal rate of 10% per annum, prejudgment interest, through and including February 9, 2026, totals $1,586.30 [$30,000.00 x 0.10 ÷ 365 x 193 days (July 31, 2025 through February 9, 2026) = $1,586.30, rounded down to the nearest whole cent].

Total Principal Amount

The Court finds that the total principal amount of damages is the $30,000.00 unpaid settlement amount, plus prejudgment interest of $1,586.30.

Costs

Plaintiff seeks an award of $815.22 in costs. See Supporting Declaration, ¶8 ("$815.22 in costs were incurred on this matter."). However, the Supporting Declaration fails to itemize or other describe the nature of the costs claimed. Nor was any memorandum of costs filed as part of the moving papers.

Any recoverable costs may be sought by a timely filed memorandum of costs or otherwise in accordance with applicable law.

Disposition

The Court finds and orders as follows:

1. The Court finds that Defendant was duly served with the motion.
2. The Court finds that Defendant is in default of the Settlement Agreement.
3. Subject to Paragraph 4 below, the Motion to Enforce Settlement is GRANTED.
    a. Plaintiff shall have judgment against Defendant in the principal amount of $30,000.00, plus prejudgment interest of $1,586.30.
    b. Plaintiff's submitted form of money judgment against Defendant will be entered by the

Court. Any prior dismissal entered herein against the Defendant and/or notice of conditional settlement is hereby set aside in connection with entry of such judgment.

4. Although the Court finds that Defendant was duly served with the motion papers, it is not clear that the papers, *as served*, contained the hearing information (date, time, etc.). THE PARTIES ARE ORDERED TO APPEAR to confirm whether Defendant was duly served with the motion papers which contained notice of the assigned hearing information at the time of service or if separate notice of the assigned hearing date was otherwise subsequently given.

6. 9:00 AM CASE NUMBER: C23-01955
CASE NAME: NICOLE TRIPPIE VS. MISTY LEONE
***HEARING ON MOTION IN RE: RE: COURT APPOINTED RECEIVER'S MOTION FOR ORDER APPROVING FINAL REPORT AND ACCOUNT, DISCHARGING RECEIVER, APPROVING FINAL FEES AND COSTS OF RECEIVER AND COUNSEL, APPROVING DISPOSITION OF CMD SALOON, LLC'S ASSETS AND TERMINATING RECEIVERSHIP.**
FILED BY:
****TENTATIVE RULING:****

This matter was previously continued to April 23, 2026. See Order entered January 20, 2026.

7. 9:00 AM CASE NUMBER: C24-01143
CASE NAME: BANC OF CALIFORNIA VS. SUTTER SQUARE HOLDINGS, LLC, A DELAWARE LIMITED LIABILITY COMPANY
***HEARING ON MOTION IN RE: ORDER: (1) APPROVING RECEIVER'S FINAL ACCOUNTING; (2) APPROVING RECEIVER'S FEES AND EXPENSES; (3) APPROVING FINAL DISBURSEMENT OF FUNDS; (4) EXONERATING RECEIVER'S BOND ETC**
FILED BY: RAILE, BELLAN
****TENTATIVE RULING:****

Parties to Appear.

8. 9:00 AM CASE NUMBER: C24-01622
CASE NAME: CHRISTOPHER JARZYNKA VS. TATILA DOWNING
***HEARING ON MOTION IN RE: SELL PROPERTY**
FILED BY: JARZYNKA, CHRISTOPHER THOMAS
****TENTATIVE RULING:****

Plaintiff Jarzynka's motion to sell the property is denied without prejudice. Plaintiff may renew his motion after the Court makes a determination on whether plaintiff is entitled to partition and if so, determines the interests of the parties in the property.

Plaintiff alleges that he and Defendant purchased a property on Caitlin Court together as tenants-in-common, but their relationship has ended and Plaintiff now wants to sell the property.